

Shankara Buildpro Ltd

Concall Tracker — earnings-call read on the durable earning trigger & management consistency • 4 July 2026

NSE: BUILDPRO • **BSE:** 544517 • Building-materials **marketplace, retail & distribution** business, demerged from Shankara Building Products Ltd and separately listed on **9 January 2026**.

1. Snapshot

What the business does (one line): Shankara Buildpro is India's largest organised **retailer and distributor of steel pipes/tubes and building materials** — it buys steel and ~100,000 home-improvement products (plumbing, sanitaryware, tiles, roofing, electricals, paints) and resells them to homeowners, contractors and dealers through ~94 stores, ~36 fulfilment centres and an online store (buildpro.store) across 10 states. It makes money on the thin trading margin between buying and selling, plus higher-margin own-brand goods. It does **not** manufacture — the factories stayed with the old parent.

MARKET CAP

₹2,381 cr

Size of the whole company on the market (~₹24 bn); a small-cap.

SHARE PRICE

₹982

Price of one share (3 Jul 2026); ~₹1,136 in late May.

FY26 REVENUE

₹6,826 cr

Total sales for the year to Mar 2026 — up ~30% on FY25's ₹5,267 cr.

FY26 NET PROFIT

₹128 cr

Bottom-line profit after all costs — up ~63% on FY25's ₹78 cr.

OPERATING MARGIN

~3.4%

Operating profit as % of sales — wafer-thin, typical of a trading/distribution model.

ROCE / ROE

~39% / 26%

Return on capital / on equity — very high because the model uses little capital.

DEBT

₹61 cr

Borrowings — tiny against ₹6,826 cr of sales; balance sheet is light.

EPS / P/E

₹52.7 / 18.4x

Profit per share / price paid per rupee of profit — a moderate rating.

FY26 EBITDA

₹228 cr

Operating profit before interest/tax/depreciation — up ~51%, margin 3.35% vs 2.87% FY25.

Snapshot figures from Screener.in (BUILDPRO consolidated) and the FY26 results release. Note: the "SHANKARA" Screener page and the on-disk CSVs largely reflect the **residual manufacturing** entity after the split and are not a clean read of Buildpro; Buildpro's own numbers are used above.

2. Concall coverage

Read this first — why the history is drawn from the old parent's calls. Shankara Buildpro is a **recently demerged entity**; dedicated post-demerger concall transcripts are limited/unavailable, so the multi-year narrative below is drawn from the **pre-demerger parent (Shankara Building Products) earnings calls** that covered this marketplace/retail business, supplemented by a web deep-dive. Those parent calls discussed the retail + trading + marketplace + own-brand bundle in detail — that exact

bundle **is** what became Shankara Buildpro Ltd. The manufacturing side (three factories) stayed behind in the renamed parent. Post-demerger data points (FY26 results, the 21 May 2026 Buildpro call) come from the web deep-dive and are tagged **POST** ; parent-call points are tagged **PRE** .

Thirteen transcripts read, oldest→newest, spanning ~3 years (Q2 FY23 through Q2 FY26). All are the **pre-demerger parent** Shankara Building Products calls; the last three straddle the demerger itself.

Period covered	Call date	Read?	Note
Investor & Analyst Meet (Q2 FY23 context)	23 Nov 2022	Yes	PRE Marketplace thesis debut
Q3 FY23	7 Feb 2023	Yes	PRE
Q4 & FY23	12 May 2023	Yes	PRE Sale/takeover flatly denied
Q1 FY24	10 Aug 2023	Yes	PRE “Shankara 2.0”
Q2 & H1 FY24	10 Nov 2023	Yes	PRE
Demerger update call	19 Dec 2023	Yes	PRE Demerger announced
Q3 FY24	14 Feb 2024	Yes	PRE
Q4 & FY24	21 May 2024	Yes	PRE Record year
Q2 & H1 FY25	5 Nov 2024	Yes	PRE First call under “Buildpro” branding
Q3 & 9M FY25	4 Feb 2025	Yes	PRE Shareholders approve demerger (12 Feb)
Q4 & FY25	19 May 2025	Yes	PRE NCLT hearing
Q1 FY26	29 Jul 2025	Yes	PRE
Q2 & H1 FY26	14 Nov 2025	Yes	PRE/POST NCLT order received; split effective

Web deep-dive sources: Screener.in (BUILDPRO & SHANKARA pages), NSE offer document/scheme filing, TipRanks/ScanX/Whalesbook/TradeBrains news on the demerger, and coverage of the Q3 FY26 and Q4/FY26 Buildpro results and the 21 May 2026 Buildpro earnings call.

2b. Latest update highlights — FY26 full year & Q4 (Buildpro’s own results, 21 May 2026 call) **POST**

- **First full year as a standalone listed company delivered strongly.** FY26 revenue **₹6,826 cr, up ~30%** (total sales grew about a third); net profit **₹128 cr, up ~63%** (bottom line rose almost two-thirds); EBITDA **₹228 cr, up ~51%**, margin 3.35% vs 2.87% (operating profitability improved by about half a percentage point).
- **Steel distribution volume crossed the 1-million-tonne goal: 1.02 million tonnes, +32%** — the volume target management had chased for two years was hit. Q4 alone: sales **₹1,996 cr**, net profit **₹42 cr**.
- **Non-steel (the higher-margin own-brand/home-improvement side) is the soft spot:** in Q3 FY26 it **fell ~5%** to ₹146 cr, blamed on weak demand, extended monsoon, weak exports and a construction slowdown in southern states — the one part of the story not firing.
- **Returns are the standout: ROCE ~39%, ROE ~26%** on very low debt (₹61 cr) — the asset-light distribution model earns a high return on the little capital it uses, exactly the case management made for the demerger.

- **Dividend of ₹5/share recommended;** working-capital cycle improved from 28.2 to 22.4 days (money is tied up for fewer days — a sign of tighter operations). Tone: confident on volumes, cautious on “global macro uncertainty” hitting commodity/energy costs.

2c. Business mix & capacity

Steel vs non-steel: Steel distribution is **~90% of volume** and the bulk of revenue (Q3 FY26 steel sales ₹1,520 cr vs non-steel ₹146 cr — roughly nine-tenths of the business is steel trading). **Non-steel** (own-brand tiles “Fotia”, sanitaryware, plumbing, paints) sits at only **~10% of sales** and has been stuck there — management wants ~20% but that goal is now an **FY30** aspiration.

Retail vs channel: Roughly **~51% retail / ~49% channel & institutional** (H1 FY26) — about half the sales are through own stores, half through dealers/projects.

Domestic vs export: Overwhelmingly **domestic (India)**; exports are a minor part of the non-steel range and were a drag in FY26. A formal domestic/export split is not broken out by management.

“Capacity”: Buildpro is asset-light (no factories), so “capacity” = its **store/fulfilment network: ~94 stores + ~36 fulfilment centres + ~20 warehouses, ~5.3 lakh sq ft, 10 states + 1 UT**. Expansion is deliberately slow — only ~3–5 new stores/year planned. Online store revenue is tiny (~₹10 cr H1 FY26) but growing fast (+250% YoY).

3. Earning Trigger thesis

The trigger: a high-return, asset-light steel-and-building-materials distribution machine, now freed from the low-margin factories that were dragging it down.

For years the retail/marketplace business earned an estimated 25–30% return on capital, but it was buried inside a group whose manufacturing arm earned only ~3–5% and soaked up capital. The demerger (NCLT order Sep 2025, Buildpro listed Jan 2026) surgically separated the two. What is now Buildpro is the good half: steel-distribution volumes compounding at 30%+ a year, a light balance sheet, and a stated path to ₹10,000 cr of revenue by ~FY30. The higher-margin own-brand (non-steel) push is the intended margin kicker on top.

Trigger	What management said	Evidence so far	Time horizon	Strength
Steel distribution volume growth	Grow steel volumes ~20–25%/yr; reach 1 million tonnes in FY26; toward ₹10,000 cr revenue by ~FY30	Volumes grew +27% (FY24), +29% (FY25, 0.84 mt), +32% (FY26, 1.02 mt) — 1 mt goal hit ; FY26 revenue +30%.	Live, multi-year	Strong — delivered repeatedly, still compounding.
Demerger unlocks a high-ROCE pure play	Separate factories out so the marketplace’s true ~28–30% ROCE shows; sharper capital allocation	Executed cleanly (1:1 shares, listed Jan 2026); FY26 ROCE ~39%, ROE ~26% on ₹61 cr debt.	Done / playing out	Strong — structural, now visible in reported returns.
Non-steel / own-brand margin uplift	Grow non-steel to 20–25% of sales; lift blended EBITDA toward 3.5–4%+	Non-steel stuck ~10% of sales; fell ~5% in Q3 FY26 ; blended margin still ~3.3–3.4%, short of the 4% talk.	Pushed to FY30	Weak/Unproven — repeatedly promised, repeatedly slipping.
			Ongoing	

Store/fulfilment & online expansion	~3–5 stores/yr; e-commerce to grow into a real channel	Network 91→~94 stores + 126→130 FCs; online ~₹10 cr H1 FY26 (+250%) but still <1% of sales.	Moderate — steady but small; not yet a needle-mover.
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4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
Nov 2022 – Aug 2023	Marketplace-first “Shankara 2.0”; 25–30% revenue CAGR; ₹10,000 cr in 4–5 yrs; EBITDA toward 3.5–4%	Revenue did grow fast (FY23 +67%, FY24 +20%); but margin stayed ~3% and the growth guide was quietly cut to 20–25%	Partly
Dec 2023	Demerge marketplace (→Buildpro) from manufacturing; 1:1 shares; complete in ~10–14 months (appointed date 1 Apr 2024)	Demerger executed exactly as structured; 1:1 confirmed; but completion slipped to Jan 2026 (~2 years, not 10–14 months)	Partly
FY24 (calls thru May 2024)	Marketplace EBITDA 3.5–4% by FY25; non-steel to 20–25% of sales; ROCE up	ROCE did improve (15%→18%); but margin guide was cut to “upwards of 3%” and the non-steel target pushed out to FY30	Partly
FY25 (steel volume goal)	0.8 mt in FY25, aspire 1 mt in FY26	FY25 came in at 0.84 mt (beat); FY26 hit 1.02 mt (beat)	Delivered
FY25–FY26 non-steel	Non-steel to grow 30–35%/yr and become the margin engine	Slowed hard: +5% (Q1 FY26), –5% (Q3 FY26) on a South-India construction slowdown	Missed
FY26 (post-listing) POST	~15–20% revenue growth; EBITDA 3.3–3.5%; sustain ~28–30% ROCE	Beat: revenue +30%, PAT +63%, EBITDA 3.35%, ROCE ~39%	Delivered

Narrative drift: The *core* story has been remarkably steady since late 2022 — “we are a marketplace/distribution business, not a manufacturer,” leading logically to the demerger and to Buildpro. On the headline metrics that matter most — volume growth, revenue growth, high ROCE, and executing the split — management has **delivered**. The drift is on the *secondary* promises: the EBITDA-margin target was walked down (3.5–4% → “upwards of 3%”), the non-steel 20–25%-of-sales goal was repeatedly pushed out (4–5 years → FY25 → FY30) and the segment then went backwards, and the demerger timeline slipped several times. So: strong on the big, structural promises; loose and over-optimistic on margins, mix and timing.

5. Bottom line

Durable earning trigger? → YES

There is a clear, concrete, still-live driver: an asset-light steel-and-building-materials distribution business compounding volumes at ~30% a year, now cleanly separated so its ~39% return on capital is visible. It has **already delivered** — FY26 revenue +30%, profit +63%, the 1-million-tonne volume goal hit — and has a credible runway toward ₹10,000 cr of revenue by ~FY30. This is a real trigger playing out, not a promise. The main caveat (which keeps it a Yes rather than a slam-dunk) is that margins are structurally wafer-thin (~3%), so profit growth leans heavily on volume and any steel-price swing can dent a quarter.

Management consistent? → MAYBE

Mixed, and honestly so. On the promises that matter most — grow volumes, grow revenue, keep returns high, and actually execute the demerger — management said it and did it, year after year, and the founder even refused a takeover to see the plan through. That is a genuinely good delivery record. But there is a repeated pattern of over-promising on the softer targets: the EBITDA-margin goal was quietly cut, the non-steel/own-brand mix target was pushed out by years (and the segment then shrank), and the demerger took roughly twice as long as first guided. The story never *changed*, but the finer numbers kept sliding. Net: dependable on the big structural thesis, loose on margins/mix/timelines — a solid MAYBE that sits close to the Yes line.

Concall-tracker report. History drawn from 13 pre-demerger Shankara Building Products earnings-call transcripts (Nov 2022–Nov 2025, read oldest→newest) that covered the marketplace/retail business now inside Shankara Buildpro Ltd, plus a web deep-dive for the demerger structure and Buildpro's post-listing FY26 results. **PRE** = pre-demerger parent call; **POST** = post-demerger Buildpro data. Not investment advice.